Tax loss harvesting

Krishnarao S | Tax year 2026

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Tax loss harvesting summary

Deduction	Tax savings
$0	$0
Potential deduction*	Potential tax savings*
$0	$2,000 - $20,000

Tax loss harvesting involves strategically selling investments that have declined in value to offset taxes on profitable investments, potentially reducing taxes on gains from stock sales to zero. Investors can use harvested losses to cancel out gains dollar-for-dollar, and any excess losses can reduce gross income by up to $3,000 per year. This powerful strategy allows investors to turn inevitable market volatility into a tax advantage while maintaining their investment exposure through similar securities.

Eligibility criteria and requirements

- Must have capital gains or ordinary income to offset with harvested losses
- Cannot repurchase identical securities within 30 days before or after sale
- Requires investments in taxable accounts, not retirement accounts
- Must have unrealized losses available for harvesting
- Limited to $3,000 annual deduction of excess losses against ordinary income
- Must maintain proper transaction documentation and cost basis records

Recommended steps for implementation

- Identify underperforming investments with unrealized losses in taxable accounts
- Calculate current year capital gains to determine needed loss harvesting amount
- Sell losing positions while avoiding wash sales (30+ day repurchase restriction)
- Immediately reinvest in similar but not identical securities to maintain exposure
- Document all transactions with dates, prices, and cost basis for tax reporting
- Review and optimize opportunities regularly, especially near year-end

**Potential savings are determined based on the estimated savings calculator associated with this strategy. Update amount by adjusting the estimated savings calculator amounts.*

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Tax loss harvesting potential savings calculation

Based on your provided inputs, here is a breakdown of your potential tax savings. These calculations use your specific business data to provide a more accurate estimate than the initial range, though final savings may vary based on full implementation and additional factors.

Calculation breakdown	Amount
Remaining capital gain (loss)	
Capital gains	$0
- Loss from declining assets	$0
= Remaining capital gain (loss)	$0
Deductible loss against income	
Filing status	
Amount allowed for ordinary loss treatment	$1,500
Remaining capital loss	$0
= Deductible loss against income	$0
Tax deductions	
Capital gains offset by losses	$0
+ Deductible loss against income	$0
= Total tax deductions	$0
Tax savings	
Total tax deductions	$0
x Effective tax rate	0%
= Tax savings	$0

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Tax loss harvesting tax savings calculation

Based on your actual implemented data, here is a breakdown of your tax savings. While these calculations use real implementation data rather than estimates, the final amounts may vary slightly when filing your tax return. This analysis represents your most accurate view of realized savings to date.

Calculation breakdown	Amount
Total short term capital gains	
No short term capital gains	$0
Total long term capital gains	
No long term capital gains	$0
Total losses incurred	
No losses incurred	$0
Net capital gains	
Total short term capital gains	$0
+ Total long term capital gains	$0
- Total losses incurred	$0
= Net capital gains	$0
Current capital gains (loss)	
Net capital gains	$0
- Carryover of short-term capital loss	$0
- Carryover of long-term capital loss	$0
= Total current capital gains (loss)	$0
Holdings to sell to maximize harvesting of losses	
No holdings to sell for tax loss harvesting	$0
Remaining capital gains (loss)	
Total current capital gains (loss)	$0
- Total holdings to sell to maximize harvesting of losses	$0
= Remaining capital gains (loss)	$0
Remaining capital loss	
Remaining capital gains (loss)	$0
= Remaining capital gains	$0
= Remaining capital loss	$0

Total loss eligible for ordinary loss treatment		
	Filing status	
	Amount allowed for ordinary loss treatment	$3,000
<	Remaining capital loss	$0
=	Total loss eligible for ordinary loss treatment	$0
Allowed loss taken against ordinary income		
	Adjusted gross income before tax loss harvesting	$0
<	Total loss eligible for ordinary loss treatment	$0
=	Allowed loss taken against ordinary income	$0
Total losses to be carried forward		
	Remaining capital loss	$0
-	Allowed loss taken against ordinary income	$0
=	Current carried forward loss	$0
Total capital gains offset by losses		
	Gains offset by realized losses	$0
+	Gains offset by carryover losses	$0
+	Gains offset by unrealized losses (harvesting)	$0
=	Total capital gains offset by losses	$0
Tax deduction		
	Capital gains offset by losses	$0
+	Allowed loss taken against ordinary income	$0
=	Tax deduction	$0
Short term gain offset by losses		
	Total short term capital gains	$0
/	Total capital gains	$0
=	Short term component percentage	0%
x	Capital gains offset by losses	$0
=	Short term gain offset by losses	$0
Long term gain offset by losses		
	Total long term capital gains	$0
/	Total capital gains	$0
=	Long term component percentage	0%
x	Capital gains offset by losses	$0

=	Long term gain offset by losses	$0
Short term tax savings		
	Short term gain offset by losses	$0
+	Allowed loss taken against ordinary income	$0
=	Total short term benefits	$0
x	Effective tax rate	0%
=	Short term tax savings	$0
Long term tax savings		
	Long term gain offset by losses	$0
x	Effective tax rate	0%
=	Long term tax savings	$0
Total tax savings		
	Short term tax savings	$0
+	Long term tax savings	$0
=	Total tax savings	$0

Implementation

Below is an outline detailing the steps you have taken to implement this tax strategy. Additionally, you will find key information on maximizing your tax savings, along with the remaining actions necessary to complete the implementation process.

Completed Steps:

- Established the foundational framework for tax loss harvesting by identifying eligible investments in taxable accounts. This step involved reviewing the current portfolio to distinguish between retirement accounts (which don't qualify) and taxable investment accounts where loss harvesting can be implemented. The analysis confirmed that only losses from securities held in taxable accounts can be harvested for tax benefits.

- Set up the data collection system to track all investment transactions including purchase dates, purchase prices, sale dates, sale prices, and share quantities. This comprehensive tracking system ensures that all necessary information for calculating capital gains and losses is properly documented and readily available for tax reporting purposes on Form 8949 and Schedule D.

- Implemented wash sale rule monitoring to prevent violations that would disallow tax benefits. The system now tracks whether shares are repurchased within 30 days before or after a sale, along with repurchase dates and quantities. This monitoring ensures that taxpayers don't accidentally trigger the wash sale rule and lose their tax deductions.

- Established carryover loss tracking from previous tax years to maximize current year benefits. The system now accounts for both short-term and long-term capital loss carryovers, ensuring that all available losses from prior years are properly utilized to offset current year gains and reduce taxable income up to the annual limits.

Maximizing Savings:

- Optimize the timing of loss harvesting by executing sales before December 31st to capture tax benefits for the current year. Strategic timing also involves analyzing market conditions and tax implications to determine whether short-term or long-term losses provide greater tax benefits based on the holding period and applicable tax rates.

- Maximize the annual $3,000 ordinary income deduction by ensuring excess capital losses beyond gains are properly utilized. This strategy involves calculating the optimal amount of losses to harvest that will fully utilize the ordinary income offset while preserving remaining losses for carryforward to future tax years.

- Implement reinvestment strategies using similar but not substantially identical securities to maintain market exposure while avoiding wash sale violations. This approach allows investors to stay invested in their desired

asset classes while realizing tax benefits, using techniques like switching between different index funds or ETFs that track similar but distinct markets.

Tax filing

Form 8949 and Schedule D Reporting

- Report all investment sales on Form 8949 with complete transaction details including description, purchase date, sale date, purchase price, sale price, and gain or loss calculations. Each transaction must be properly categorized as short-term (held one year or less) or long-term (held more than one year) based on the holding period from purchase to sale date.

- Transfer summarized capital gains and losses from Form 8949 to Schedule D, ensuring proper netting of gains and losses within each category. Short-term gains and losses are netted together, long-term gains and losses are netted together, and then the net amounts are combined to determine overall capital gain or loss position.

- Apply capital loss limitations correctly, ensuring that net capital losses exceeding $3,000 ($1,500 for married filing separately) are properly carried forward to future tax years. The excess loss carryforward must be tracked and documented for use in subsequent years until fully utilized against future gains or ordinary income.

Wash Sale Rule Compliance

- Identify and adjust for any wash sale violations where substantially identical securities were repurchased within 30 days before or after the loss sale. Disallowed wash sale losses must be added to the cost basis of the repurchased securities rather than claimed as current year deductions, effectively deferring the tax benefit until the replacement securities are sold.

- Maintain detailed records of all repurchase transactions including dates, quantities, and cost basis adjustments to ensure accurate reporting of wash sale impacts. This documentation is essential for properly calculating the adjusted basis of replacement securities and ensuring compliance with IRS regulations.

Documentation and Record Keeping

- Maintain comprehensive transaction records including brokerage statements, trade confirmations, and cost basis documentation for all investment sales used in loss harvesting. These records must support the reported purchase dates, sale dates, and transaction amounts on the tax return and be readily available for IRS examination.

- Document the business purpose and investment rationale for loss harvesting transactions to demonstrate that sales were made for legitimate tax planning purposes rather than solely to manipulate tax outcomes. This documentation helps support the economic substance of the transactions in case of IRS scrutiny.

Potential pitfalls to avoid

While this strategy can be a powerful tax-saving tool, it's important to be aware of potential pitfalls:

- Avoid violating the wash sale rule by repurchasing the same or substantially identical securities within 30 days before or after realizing a loss. This pitfall is critical because wash sale violations completely disallow the tax deduction for the loss, eliminating the entire tax benefit of the harvesting strategy and potentially creating unexpected tax liability from unoffset gains.

- Prevent inadequate documentation of investment transactions including missing purchase dates, incorrect cost basis, or lack of supporting brokerage statements. Poor record keeping can lead to IRS challenges, potential penalties, and inability to substantiate claimed losses, which could result in disallowance of deductions and additional taxes owed with interest.

- Avoid harvesting losses without having sufficient capital gains or ordinary income to offset, leading to unnecessary transaction costs without meaningful tax benefits. This pitfall wastes money on trading fees and may result in suboptimal investment positioning when the harvested losses cannot provide immediate tax value and must be carried forward to uncertain future years.

- Prevent emotional decision-making that leads to permanent exit from desired investment positions during temporary market downturns. This pitfall can result in missing out on potential recovery gains and compromising long-term investment strategy for short-term tax benefits, ultimately reducing overall portfolio returns despite the tax savings achieved.

Supporting tax information

Here's a summary of the key tax information provided and used so far for this strategy:

Data Model	Value
CapitalGainsAndLossesTemp	
Tax Year	2026
Estimated savings	
Tax Year	2026
Individual general information	
Tax Year	2026
Taxpayer UUID	019d0fda-4440-70e2-8d50-eac2daf5a4ce
MAGI calculations	
Tax Year	2026

Supporting documentation

Here's a summary of the key tax documentation uploaded and used so far for this strategy:

Document name	Uploaded by	Data uploaded

Key tax references

We have compiled a comprehensive list of IRS tax code references, relevant court cases, and related regulations to substantiate this strategy. This documentation ensures your tax approach remains both accurate and compliant with current legal standards.

Internal Revenue Code sections and related regulations include:

IRC Sections 1211, 1212, 1091, 1222, 165, 1001, 1012, 1015, 1014, 1016, 6045, 6045A and Treasury Regulations 26 CFR Section 1.1211-1, 26 CFR Section 1.1212-1, 26 CFR Section 1.1091-1, 26 CFR Section 1.1091-2, IRS Publications 550 and 544, Form 8949, Schedule D, IRC Section 1223, IRC Section 267, IRC Section 1011, IRS Notice 2014-21, IRC Section 446, Section 451, IRC Section 741, IRS Pub. 551, 587, 559.